

Best time to buy TVs is now

Because of several factors, explains **Avneet Singh Marwah**, CEO of SPPL

Yashraj Verma | editor@digit.in

India's smart TV market has seen a decline in shipments this year, with consumers turning cautious about big-ticket purchases. But as the festive season gets closer, one industry voice believes the slowdown is more about sentiment than any lasting change in how Indians buy televisions.

"It's not a fundamental change that has happened in the market. It's just the sentiments have gone down," Avneet Singh Marwah, CEO of SPPL, told us in an exclusive conversation. "India is price sensitive, so whenever you increase prices, there is a void of purchase that starts happening."

The reason buyers hesitated, according to Avneet, is that consumers have long assumed electronics get cheaper with time. This year, that pattern broke. By his estimate, memory prices have risen by a lot globally, pushing up the cost of smart TVs, smartphones, tablets and PCs alike.

Why H1 slowed

A TV, Marwah pointed out, isn't a must-have in the way a mobile phone is. "If it is not working for a month or two, the consumer still can avoid it and wait for the right timing," he said. That explains the weak first half of the year.

The second half could look different. Rising costs of raw material, and buyers are doing the math. "Now consumers know that whatever I'll be spending now, after a quarter it will be 10 percent more. So, it's better to consume now," Marwah said, adding that he expects a spike in festive demand.

Marwah was candid that how much a brand can take on depends on its strategy and balance sheet. Companies that are already losing money have little room left, which means they have to pass costs on quickly.

He pointed to brands that chased market share at the cost of profits. Xiaomi, he said, "three to four years back-to-back was bleeding money after entering the TV business." OnePlus, in his telling, began with super-premium televisions, then shifted to entry-level models, "and that's where they lost the whole plot." Samsung, he added, has some room to absorb costs, though its recent results show margins already under pressure.

"I think 1 or 2 percent maximum you can take the hit," he said. With the dollar appreciating by 9-10 percent in a year, that kind of absorption no longer helps. SPPL has already raised prices once last quarter, and Marwah said more will come: "There is no way that we will be absorbing these prices after October." Further increases are planned for December and January.

Buy now or wait?

Marwa's advice to buyers was unambiguous. "Consumers are left with no choice," he said. "I think this is the best price in the next two years."

The pressure comes from several pressures landing at once: memory prices that have shot up globally, a dollar that has strengthened by 9 to 10 per cent in a year, freight costs that have spiked by more than 2.5x amid the Middle East crisis, and retailers who held back on stocking up earlier in the year.

Brands are left with little room to absorb the hit, so he expects prices to rise by over 25-30 percent by the next year, and said anyone planning to buy a TV should do so now.